

Compal Electronics, Inc.

AI server breakthrough partly offset by PC headwinds;
Neutral

Compal reported 2Q26 earnings and hosted an analyst meeting on 13 August. Key takeaways were: 1) 2Q26 GM weaker than expected due to memory-led NB ASP expansion, while earnings beat on non ops gains; 2) Compal guided a continued growth in 2H26 as AI server strength more than offset PC/Smart device weakness; 3) Compal guided to a mid-teens % PC shipment decline this year, largely in line with the industry trend; 4) Compal reiterated the 10% server revenue contribution this year and targets a 30-40% AI server revenue contribution next year, driven by Neocloud/U.S. enterprise customer wins in rack-level projects; 5) stringent Opex control and targets single digit Opex growth this year; and 6) reiterated Capex investment of NT\$18bn this year and likely a continued Capex hike next year for server production expansion. While we see meaningful breakthroughs for Compal in the AI server business, we expect higher interest expenses and equity dilution to partially offset the incremental server earnings. For non-server businesses, we believe Compal would suffer from PC/Consumer demand weakness in the next 6-12 months due to component cost inflation. Compal stock has underperformed the Taixex by 13% YTD due to the slow business transformation and market concerns on server profitability. We expect the stock to continue to underperform the index on slow earnings momentum. Overall, we raise our 2026/27 earnings estimates by 3%/13%, introduce our 2028 estimates, and extend our PT time frame to Jun-27 with PT of NT\$40 (based on ~12x 12M fwd EPS, around mid-cycle valuation). Stay Neutral.

- **2Q26 core earnings largely inline, continued growth in 2H26 with margin expansion.** Compal's 2Q26 GM dipped to 4.6% from 5.3% in 1Q, below our estimate of 5.3%, due to larger-than-expected ASP expansion due to memory cost inflation. However, OPM was in line with our expectations at 1.2% due to stringent Opex control (up 3% YoY in 2Q vs. 32% sales growth). Management expects growing revenues in 2H26 as AI server strength more than offsets the PC/Consumer related business weakness. Overall, we model 13% HoH revenue growth in 2H26 with OPM expansion on better product mix (higher contribution from servers) and stringent Opex control.
- **Strong server growth outlook, but earnings likely capped by stretched balance sheet.** Management expects the AI server revenue contribution to reach 10%/30-40% in 2026/27 vs. LSD last year, driven by the B300/R200 HGX server ramp in Neocloud customers and NVL72 rack shipment ramp next year in new customers (we believe a key U.S. server brand). We believe the NVL72 project win is not finalized yet. Overall, we estimate 7k/15k HGX servers in 2026/27 and 0.7k NVL72 rack shipments in 2027 for Compal and forecast 10x+/3x+ server revenue growth in 2026/27 (~11%/28% of total revenue). We see a latecomer disadvantage for Compal and expect potential equity dilution if there are more project wins.
- **Lackluster 2H26 PC/Consumer demand outlook.** Compal guided a mid-teens % PC shipment decline this year, which implies a 4%/15-17% HoH/YoY PC shipment decline in 2H26 due to the pull-in demand in 1H26 and negative price elasticity. Management also sees a similar demand outlook for the smart device business (e.g. smartphones, wearable products).

Neutral

2324.TW, 2324 TT

Price (14 Aug 26):NT\$43.20

▲ **Price Target (Jun-27):NT\$40.00**

Prior (Dec-26):NT\$30.00

Technology - Hardware

Albert Hung ^{AC}

(886-2) 2725-9875

albert.hung@jpmchase.com

J.P. Morgan Securities (Taiwan) Limited/ J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Anthony Leng

(886-2) 2725-9240

anthony.leng@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

Gokul Hariharan

(852) 2800-8564

gokul.hariharan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT\$)	1.99	2.04	2.6%
Adj. EPS - 27E (NT\$)	2.54	2.88	13.3%

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT\$)	2025A	2026E	2027E
Q1	0.50	0.45	0.55
Q2	0.11	0.71	0.75
Q3	0.44	0.47	0.78
Q4	0.32	0.41	0.80
FY	1.37	2.04	2.88

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	16	12	6	14	8
Growth	70	87	84	70	95
Momentum	65	76	73	22	62
Quality	75	79	75	67	79
Low Vol	47	35	29	29	15

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 9 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	42.1%	21.5%	42.8%	53.5%
Rel	-16.1%	19.1%	33.1%	-35.5%

Company Data

Shares O/S (mn)	4,407
52-week range (NT\$)	47.75-26.70
Market cap (\$ mn)	5,943
Exchange rate	32.03
Free float (%)	90.0%
3M ADV (mn)	104.72
3M ADV (\$ mn)	122.3
Volatility (90 Day)	63
Index	TAIEX
BBG ANR (Buy Hold Sell)	1 7 3

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	757,513	936,843	1,220,338	1,497,088
Adj. EBIT	10,636	12,101	20,843	28,507
Adj. EBITDA	17,619	19,083	27,825	35,490
Adj. net income	6,030	8,992	12,682	17,327
Adj. EPS	1.37	2.04	2.88	3.93
BBG EPS	1.64	2.17	2.63	3.08
Cashflow from operations	28,085	(16,506)	(35,877)	(21,306)
FCFF	20,669	(37,902)	(54,519)	(30,592)
Margins and Growth				
Revenue Growth Y/Y (%)	(16.8%)	23.7%	30.3%	22.7%
EBIT margin	1.4%	1.3%	1.7%	1.9%
EBIT Growth Y/Y (%)	(28.3%)	13.8%	72.2%	36.8%
EBITDA margin	2.3%	2.0%	2.3%	2.4%
EBITDA Growth Y/Y (%)	(19.3%)	8.3%	45.8%	27.5%
Net margin	0.8%	1.0%	1.0%	1.2%
Adj. EPS growth	(40.0%)	49.1%	41.0%	36.6%
Ratios				
Adj. tax rate	24.4%	22.3%	22.3%	22.3%
Interest cover	NM	NM	15.9	10.2
Net debt/Equity	NM	34.0%	81.2%	109.5%
Net debt/EBITDA	NM	2.3	3.9	4.4
ROE	4.4%	6.9%	9.6%	12.6%
Valuation				
FCFF yield	10.9%	(19.9%)	(28.6%)	(16.1%)
Dividend yield	3.2%	2.5%	3.4%	4.7%
EV/Revenue	0.3	0.3	0.3	0.2
EV/EBITDA	11.2	13.1	11.3	10.2
Adj. P/E	31.6	21.2	15.0	11.0

Summary Investment Thesis and Valuation

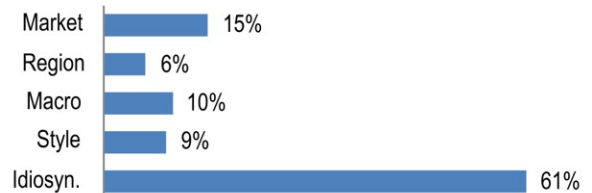
Investment Thesis

While we see meaningful breakthroughs for Compal in the AI server business, we expect higher interest expenses and equity dilution to partially offset the incremental server earnings. For non-server businesses, we believe Compal would suffer from PC/Consumer demand weakness in the next 6-12 months due to component cost inflation. Compal stock has underperformed the Taix YTD due to the slow business transformation and market concerns on server profitability. We expect the stock to continue to underperform the index on slow earnings momentum. Stay Neutral.

Valuation

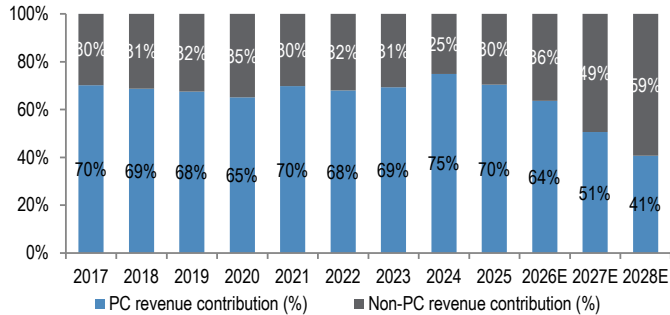
Our Jun-27 PT of NT\$40 is based on ~12x 12M fwd EPS, around mid-cycle valuations.

Performance Drivers



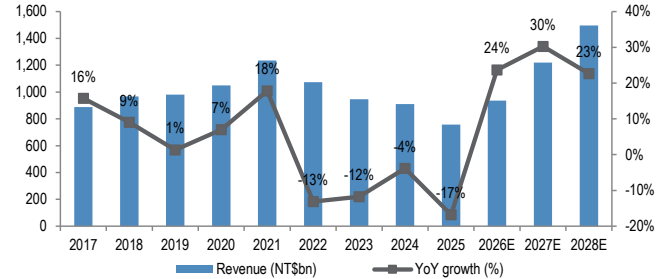
Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.44	0.39
Region: Taiwan	0.26	0.27
Macro:		
Markit EM Composite PMI SA	0.35	0.30
Generic 1st 'CO' Future	0.37	0.26
JPM Global Equity Sentiment	-0.25	-0.18
Quant Styles:		
Size	0.26	0.20
Value	0.10	0.12
LowVol	-0.10	-0.02

Figure 1: Compal – PC and non-PC revenue contribution



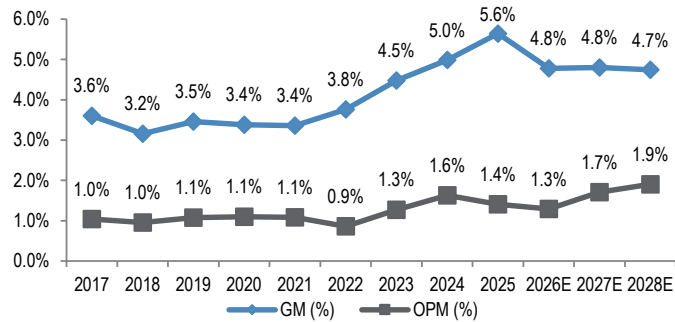
Source: Company data, J.P. Morgan estimates.

Figure 2: Compal – Annual revenue and YoY growth



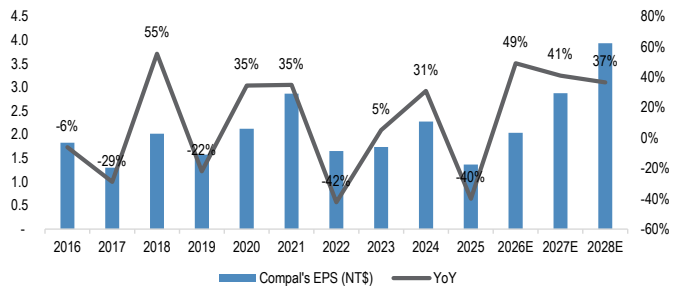
Source: Company data, J.P. Morgan estimates.

Figure 3: Compal – Annual GM and OPM



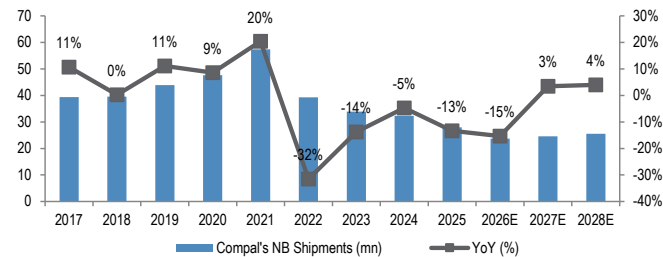
Source: Company data, J.P. Morgan estimates.

Figure 4: Compal – Annual EPS and YoY trend



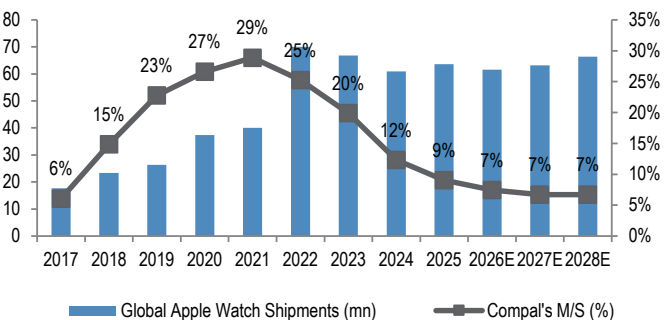
Source: Company data, J.P. Morgan estimates.

Figure 5: Compal – NB shipments and YoY trend



Source: Company data, J.P. Morgan estimates.

Figure 6: Global Apple Watch shipments and Compal's market share



Source: Company data, J.P. Morgan estimates.

Table 1: Compal - 2Q26 earnings comp

NT\$ million	2Q26			Variance		Growth	
	Actual	JPMe	Consensus	vs. JPMe	vs. BBG	Q/Q	Y/Y
Sales	238,295	220,259	220,293	8%	8%	18%	32%
Gross profit	11,021	11,768	11,539	-6%	-4%	4%	4%
GM (%)	4.6%	5.3%	5.2%	-72 bps	-61 bps	-64 bps	-124 bps
Operating profit	2,855	2,690	3,146	6%	-9%	8%	9%
OPM (%)	1.2%	1.2%	1.4%	-2 bps	-23 bps	-12 bps	-26 bps
Pretax profit	4,639	2,851	3,513	63%	32%	50%	260%
Net Income	3,133	1,785	2,172	76%	44%	59%	549%
EPS	0.71	0.41	0.49	76%	44%	59%	549%

Source: J.P. Morgan estimates, Company data.

Table 2: Compal – Estimate revisions (annual)

NT\$ million	Revised			Prior			Change (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Sales	936,843	1,220,338	1,497,088	936,568	1,028,952	N.A	0%	19%	N.A
Gross profit	44,774	58,619	70,968	50,185	55,355	N.A	-11%	6%	N.A
GM (%)	4.8%	4.8%	4.7%	5.4%	5.4%	N.A	-58bps	-58bps	N.A
Operating profit	12,101	20,843	28,507	13,499	16,986	N.A	-10%	23%	N.A
OPM (%)	1.3%	1.7%	1.9%	1.4%	1.7%	N.A	-15bps	6bps	N.A
Pretax profit	13,993	18,729	24,703	13,558	16,565	N.A	3%	13%	N.A
Net Income	8,992	12,682	17,327	8,763	11,189	N.A	3%	13%	N.A
EPS	2.04	2.88	3.93	1.99	2.54	N.A	3%	13%	N.A

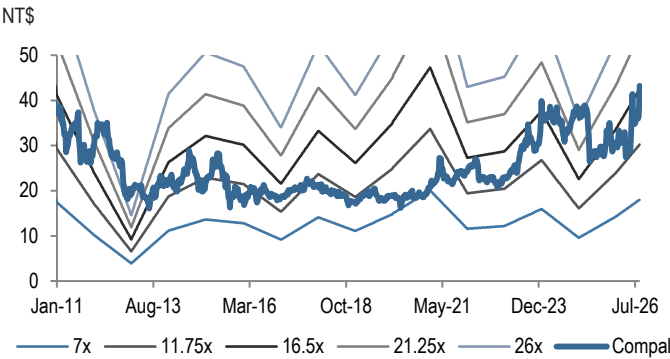
Source: J.P. Morgan estimates.

Table 3: Compal – JPMe vs. Bloomberg consensus

NT\$ million	JPMe				Consensus				Difference (%)			
	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E
Sales	248,806	248,439	936,843	1,220,338	243,724	247,036	914,745	1,075,484	2%	1%	2%	13%
Gross profit	11,553	11,602	44,774	58,619	11,942	12,900	47,777	52,709	-3%	-10%	-6%	11%
GM (%)	4.6%	4.7%	4.8%	4.8%	4.9%	5.2%	5.2%	4.9%	-26bps	-55bps	-44bps	-10bps
Operating profit	3,441	3,161	12,101	20,843	3,772	3,612	13,081	15,622	-9%	-12%	-7%	33%
OPM (%)	1.4%	1.3%	1.3%	1.7%	1.5%	1.5%	1.4%	1.5%	-16bps	-19bps	-14bps	26bps
Pretax profit	3,327	2,936	13,993	18,729	4,022	4,022	14,598	16,899	-17%	-27%	-4%	11%
Net Income	2,076	1,816	8,992	12,682	2,506	2,506	9,446	11,266	-17%	-28%	-5%	13%
EPS	0.47	0.41	2.04	2.88	0.57	0.57	2.14	2.56	-17%	-28%	-5%	13%

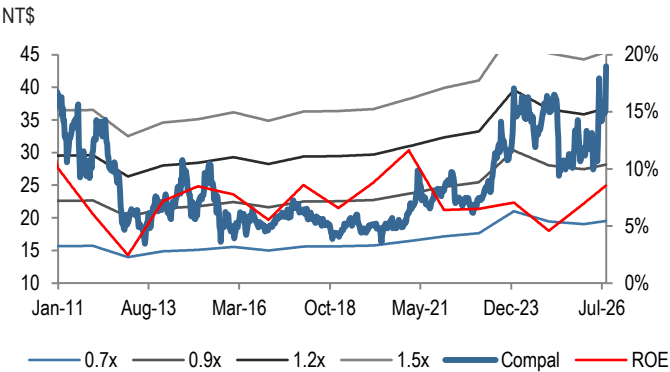
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 7: Compal – 12-month forward P/E



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 8: Compal – 12-month forward P/B



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Table 4: Compal – Quarterly financials

(NT\$ mn)	2025				2026				2027				2025	2026E	2027E	2028E
	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE				
Net Sales	199,098	180,443	187,120	190,852	201,304	238,295	248,806	248,439	261,347	291,537	326,916	340,538	757,513	936,843	1,220,338	1,497,088
Cost of Goods Sold	187,013	168,249	174,946	177,954	188,966	226,038	235,130	234,565	245,969	274,655	308,990	321,766	708,161	884,699	1,151,381	1,414,282
Depreciation	1,642	1,609	1,563	1,791	1,740	1,236	2,122	2,272	2,397	2,522	2,647	2,772	6,605	7,370	10,338	11,838
Gross Profit	10,443	10,585	10,610	11,108	10,597	11,021	11,553	11,602	12,981	14,361	15,279	15,999	42,747	44,774	58,619	70,968
Gross Margin	5.2%	5.9%	5.7%	5.8%	5.3%	4.6%	4.6%	4.7%	5.0%	4.9%	4.7%	4.7%	5.6%	4.8%	4.8%	4.7%
Total Operating Expenses	7,737	7,962	7,938	8,473	7,953	8,166	8,112	8,441	8,876	9,166	9,654	10,080	32,110	32,673	37,777	42,461
Operating Profit (EBIT)	2,706	2,624	2,672	2,634	2,644	2,855	3,441	3,161	4,105	5,194	5,625	5,919	10,636	12,101	20,843	28,507
Operating Margin	1.4%	1.5%	1.4%	1.4%	1.3%	1.2%	1.4%	1.3%	1.6%	1.8%	1.7%	1.7%	1.4%	1.3%	1.7%	1.9%
Total Non-Operating Income	721	-1,334	545	-120	447	1,785	-114	-225	-468	-303	-562	-781	-188	1,893	-2,114	-3,804
Profit Before Taxes	3,427	1,290	3,217	2,515	3,091	4,639	3,327	2,936	3,637	4,891	5,063	5,138	10,448	13,993	18,729	24,703
Income Tax Expense (Gain)	788	361	768	631	700	1,031	749	646	800	1,101	1,139	1,130	2,548	3,125	4,170	5,500
Net Income	2,191	482	1,947	1,409	1,967	3,133	2,076	1,816	2,413	3,314	3,422	3,533	6,030	8,992	12,682	17,327
Net Income Margin	1.1%	0.3%	1.0%	0.7%	1.0%	1.3%	0.8%	0.7%	0.9%	1.1%	1.0%	1.0%	0.8%	1.0%	1.0%	1.2%
EPS (NT\$)	0.50	0.11	0.44	0.32	0.45	0.71	0.47	0.41	0.55	0.75	0.78	0.80	1.37	2.04	2.88	3.93
Growth (% Q/Q)																
Net Sales	-13	-9	4	2	5	18	4	0	5	12	12	4				
Gross Profit	-10	1	0	5	-5	4	5	0	12	11	6	5				
Operating Profit	-17	-3	2	-1	0	8	21	-8	30	27	8	5				
Net income	13	-78	304	-28	40	59	-34	-13	33	37	3	3				
EPS	13	-78	304	-28	40	59	-34	-13	33	37	3	3				
Growth (% Y/Y)																
Net Sales	0	-24	-23	-17	1	32	33	30	30	22	31	37	-17	24	30	23
Gross Profit	7	-10	-13	-4	1	4	9	4	22	30	32	38	-6	5	31	21
Operating Profit	-5	-35	-43	-19	-2	9	29	20	55	82	63	87	-28	14	72	37
Net income	16	-83	-42	-27	-10	549	7	29	23	6	65	95	-40	49	41	37
EPS	16	-83	-42	-27	-10	549	7	29	23	6	65	95	-40	49	41	37

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Compal Electronics, Inc. *(Neutral; Price Target: NT\$40.00)*

Investment Thesis

While we see meaningful breakthroughs for Compal in the AI server business, we expect higher interest expenses and equity dilution to partially offset the incremental server earnings. For non-server businesses, we believe Compal would suffer from PC/Consumer demand weakness in the next 6-12 months due to component cost inflation. Compal stock has underperformed the Taixex YTD due to the slow business transformation and market concerns on server profitability. We expect the stock to continue to underperform the index on slow earnings momentum. Stay Neutral.

Valuation

Our Jun-27 PT of NT\$40 is based on ~12x 12M fwd EPS, around mid-cycle valuations.

Risks to Rating and Price Target

Key upside risks to our Neutral rating and price target include a quicker breakthrough in the AI server system business and better-than-expected NB outlook. Key downside risks include slower-than-expected progress in AI server business and softer-than-expected PC end demand.

Compal Electronics, Inc.: Summary of Financials

Income Statement - Annual					Income Statement - Quarterly				
	FY24A	FY25A	FY26E	FY27E		1Q26E	2Q26E	3Q26E	4Q26E
Revenue	910,253	757,513	936,843	1,220,338	Revenue	201,304	238,295	248,806	248,439
COGS	(864,882)	(714,766)	(892,070)	(1,161,719)	COGS	(190,706)	(227,274)	(237,253)	(236,837)
Gross profit	45,371	42,747	44,774	58,619	Gross profit	10,597	11,021	11,553	11,602
SG&A	(11,629)	(11,939)	(12,823)	(14,355)	SG&A	(3,043)	(3,328)	(3,245)	(3,208)
Adj. EBITDA	21,824	17,619	19,083	27,825	Adj. EBITDA	4,384	4,091	5,563	5,433
D&A	(6,982)	(6,982)	(6,982)	(6,982)	D&A	(1,740)	(1,236)	(2,122)	(2,272)
Adj. EBIT	14,842	10,636	12,101	20,843	Adj. EBIT	2,644	2,855	3,441	3,161
Net Interest	(13)	338	283	(1,746)	Net Interest	259	105	15	(96)
Adj. PBT	15,348	10,448	13,993	18,729	Adj. PBT	3,091	4,639	3,327	2,936
Tax	(3,654)	(2,548)	(3,125)	(4,170)	Tax	(700)	(1,031)	(749)	(646)
Minority Interest	(1,652)	(1,871)	(1,876)	(1,876)	Minority Interest	(423)	(476)	(502)	(474)
Adj. Net Income	10,042	6,030	8,992	12,682	Adj. Net Income	1,967	3,133	2,076	1,816
Reported EPS	2.28	1.37	2.04	2.88	Reported EPS	0.45	0.71	0.47	0.41
Adj. EPS	2.28	1.37	2.04	2.88	Adj. EPS	0.45	0.71	0.47	0.41
DPS	1.20	1.40	1.10	1.47					
Payout ratio	52.7%	102.3%	53.9%	51.0%					
Shares outstanding	4,407	4,407	4,407	4,407	Shares outstanding	4,407	4,407	4,407	4,407
Balance Sheet & Cash Flow Statement					Ratio Analysis				
	FY24A	FY25A	FY26E	FY27E		FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	84,197	92,241	67,960	47,762	Gross margin	5.0%	5.6%	4.8%	4.8%
Accounts receivable	204,213	175,719	231,423	317,213	EBITDA margin	2.4%	2.3%	2.0%	2.3%
Inventories	84,832	84,686	142,751	195,612	EBIT margin	1.6%	1.4%	1.3%	1.7%
Other current assets	6,280	8,159	12,993	17,810	Net profit margin	1.1%	0.8%	1.0%	1.0%
Current assets	379,522	360,805	455,127	578,396	ROE	7.7%	4.4%	6.9%	9.6%
PP&E	31,104	31,659	45,465	55,127	ROA	2.2%	1.3%	1.8%	2.1%
LT investments	32,459	24,389	25,500	25,500	ROCE	5.2%	3.6%	4.1%	6.1%
Other non current assets	20,457	22,054	22,285	22,285	SG&A/Sales	1.3%	1.6%	1.4%	1.2%
Total assets	463,542	438,907	548,378	681,309	Net debt/equity	0.2%	NM	34.0%	81.2%
Short term borrowings	72,204	70,954	99,306	99,306	P/E (x)	19.0	31.6	21.2	15.0
Payables	158,733	145,992	220,616	302,310	P/BV (x)	1.3	1.4	1.5	1.4
Other short term liabilities	52,116	51,675	60,911	61,911	EV/EBITDA (x)	9.4	11.2	13.1	11.3
Current liabilities	283,052	268,622	380,832	463,526	Dividend Yield	2.8%	3.2%	2.5%	3.4%
Long-term debt	12,235	11,940	12,532	57,532	Sales/Assets (x)	2.0	1.7	1.9	2.0
Other long term liabilities	25,790	26,538	25,994	25,994	Interest cover (x)	1,646.4	NM	NM	15.9
Total liabilities	321,077	307,099	419,358	547,052	Operating leverage	(602.2%)	168.9%	58.1%	238.7%
Shareholders' equity	142,465	131,808	129,020	134,257	Revenue y/y Growth	(3.9%)	(16.8%)	23.7%	30.3%
Minority interests	-	-	-	-	EBITDA y/y Growth	14.7%	(19.3%)	8.3%	45.8%
Total liabilities & equity	463,542	438,907	548,378	681,309	Tax rate	23.8%	24.4%	22.3%	22.3%
BVPS	32.33	29.91	29.28	30.46	Adj. Net Income y/y Growth	31.0%	(40.0%)	49.1%	41.0%
y/y Growth	19.1%	(7.5%)	(2.1%)	4.1%	EPS y/y Growth	31.0%	(40.0%)	49.1%	41.0%
Net debt/(cash)	242	(9,347)	43,878	109,076	DPS y/y Growth	0.0%	16.7%	(21.4%)	33.5%
Cash flow from operating activities	24,014	28,085	(16,506)	(35,877)					
o/w Depreciation & amortization	7,295	6,605	7,370	10,338					
o/w Changes in working capital	5,024	13,579	(34,744)	(60,773)					
Cash flow from investing activities	(23,469)	(687)	(22,519)	(20,000)					
o/w Capital expenditure	(9,359)	(7,160)	(21,176)	(20,000)					
as % of sales	1.0%	0.9%	2.3%	1.6%					
Cash flow from financing activities	11,120	(19,354)	14,744	35,679					
o/w Dividends paid	(5,289)	(6,170)	(4,848)	(6,474)					
o/w Net debt issued/(repaid)	(878)	(2,665)	28,826	45,000					
Net change in cash	11,665	8,044	(24,281)	(20,198)					
Adj. Free cash flow to firm	14,665	20,669	(37,902)	(54,519)					
y/y Growth	(35.2%)	40.9%	(283.4%)	43.8%					

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Compal Electronics, Inc. (2324.TW, 2324 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
03-Mar-24	N	36.70	34
13-Nov-24	N	36.85	37
29-Apr-25	N	27.20	30

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 04, 2000. All share prices are as of market close on the previous business day.

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